



Case Study: Q-Commerce

Blinkit is a **10-minute** grocery and e-commerce platform - have pioneered the instant delivery model in India with over **10 million Indians** shopping on Blinkit, for everything from grocery staples and vegetables to emergency supplies and electronics, and much more, delivering over **2,00,000 orders everyday**.

Problem Statement

As an APM at Blinkit, come up with **product recommendations for increasing margins** (Increasing Revenue or Reducing Costs) in 10-minute deliveries

[Into the Deck](#)

Increasing Margin

Increasing Revenue

- To increase revenue, the most trivial way is to increase the total value of the order i.e. to **increase cart size**
- To increase revenue, Blinkit has to sell items that have a **better margin**. For example, mobile accessories and imitation jewellery have an average margin of 40-60% whereas grocery lies in the bracket of 20-30%
- USP of Blinkit is its ability to deliver in 10 minutes, this builds an impulsive behaviour in consumers - catering and **motivating impulsive buying** in consumers can encourage them to buy often
- Blinkit is perceived as an online hyperlocal grocery, emergency supplies and electronics delivery platform whereas it has **many other products** such as party corner feature which have less popularity but great potential

Reducing Cost

- Blinkit Carry Bags on each order, even on small order sizes, is a significant cost on Blinkit. **Looping out Carry Bags** from every order, especially small orders can help reduce costs.
- Blinkit's USP of 10-minute delivery helps it acquire a lot of customers and thus a lot of orders. Every Order is a whole process in itself and the delivery boy has only 6-7 minutes to take the order from the dark store to the delivery location. But not all customers, at all times, want the order to be delivered as soon as possible. Many consumers will be fine if their order is delivered in let's say **40 minutes instead of 10 minutes**. While a delivery person can wait for another order in those 40 minutes and then complete both the orders in one trip.

What are the Solutions?



Product Recommendations to Increase Margin

Problem	Solution	Problem	Solution
- delivery person executes only one delivery in one trip - small effortless orders takes times and effort of delivery person	Optional Quick Delivery - user will have the option to opt-out of flash delivery to receive order at a maximum of 2 hours for a less delivery charge - enabling multiple deliveries in one trip	A user wants to get a 10-min delivery because of the need for urgency, but one can not directly buy a single product skipping the cart	Buy Now Adding a buy now option besides 'Add' option to motivate and tap into the impulsive need of the user
- the heavy cost of providing free carry bags - providing bags, especially in small order is less feasible	Optional Carry Bag - users will have the option to opt-out of carrying bags from their order, which will not be free anymore while checking out - reducing a significant cost for Blinkit	- Different Stores as a feature is very lucrative but it is nothing but another path way to categorize products, - No combos as product	Combo Store - It will help users to buy multiple particular essentials as one product, facilitating faster purchase - Party Combo, Munchies Combo, etc.
The suggestions of other products in the cart is not relevant to the order and thus does not motivate users' impulsive nature	You might also like To add 'You might also like' section instead of 'before you checkout' with products that are relevant to my cart followed by popular products	- There is no brand building as products for Blinkit - Self-manufactured products have more margin, which is absent in Blinkit	Blinkit Originals - Blinkit's own grocery and product range - Helping achieve better margins as well as retaining more users
		Blinkit delivers a variety of categories of products, but have reduced the visibility due to bad categorising and User Interface	Restructured Categories - Defining other categories, providing more visibility to non-grocery categories such as bags, electronics, etc. - Increasing revenue from other categories

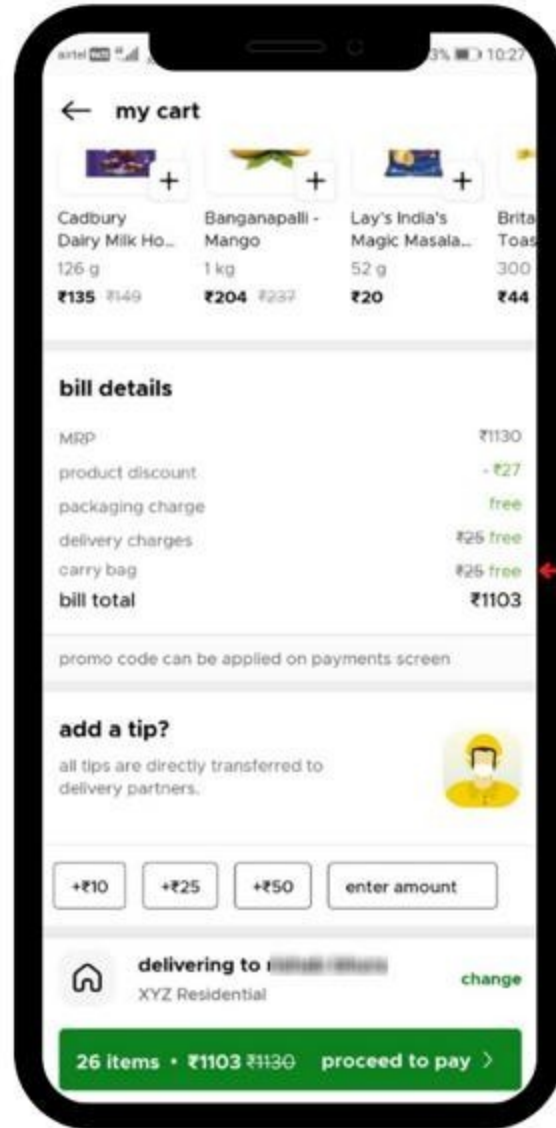
Time to Prioritize



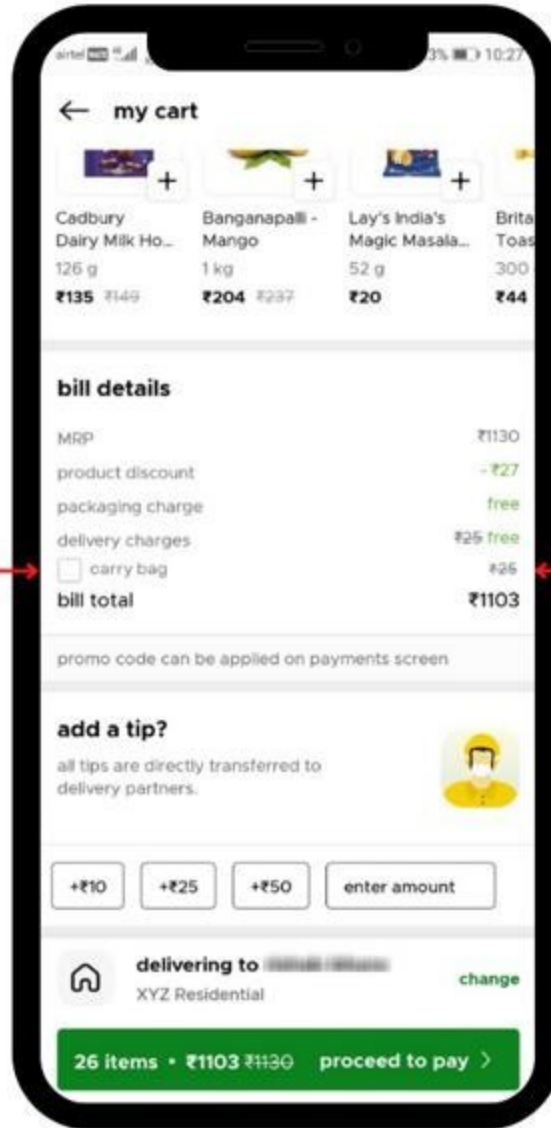
Feature	Reach	Impact	Confidence	Effort	Total
Optional Quick Delivery	700	4	50	4	350
Optional Carry Bag	750	5	100	3	1250
You might also like	600	4	80	4	480
Buy Now	550	5	80	2	1100
Store Combos	400	3	100	2	600
Blinkit Originals	350	4	80	5	224
Restructured Categories	400	3	50	5	120

- **Optional Carry Bag and Buy Now** features are the high RICE value features, that have great reach, high-five impact, top confidence and minimal efforts
- The third feature on priority is **Combo Store** which has a good impact, with lesser efforts
- Other features like '**You might also like**' and '**Optional Quick Delivery**' are next on priority and also have great reach and impact. But the low level of confidence and high efforts push it down in prioritization.
- The last two features are **Blinkit Originals** and **Restructured Categories** have the lesser reach, low confidence and high efforts.

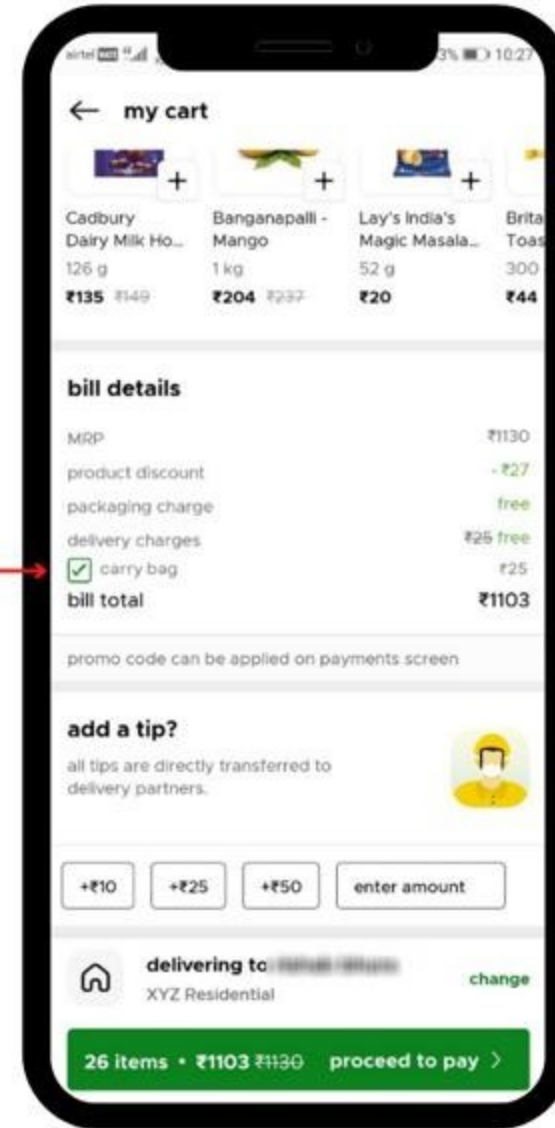
[Solutions in Detail](#)



*Carry bag free because of some offer



*Carry bag not selected



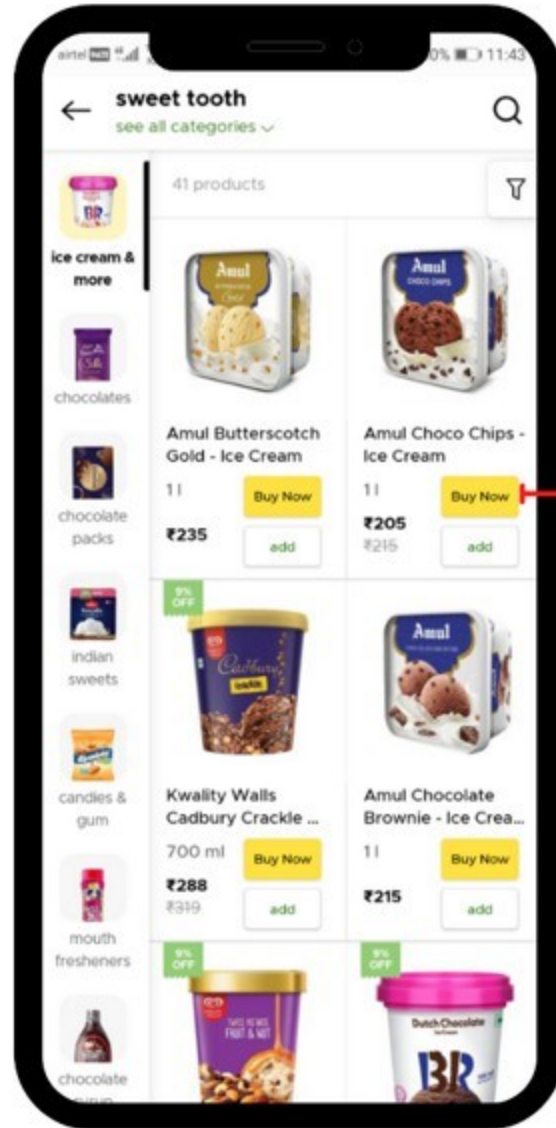
*Carry bag selected and also charged

Optional Carry Bag

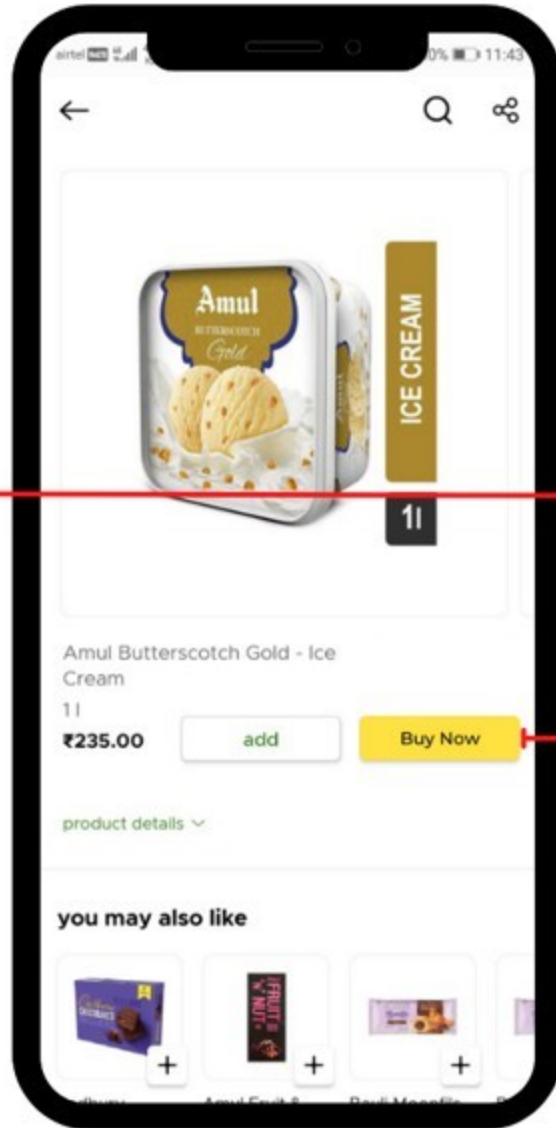
- Users will have the option to **opt-out of carrying bags** from their order, which will not be free anymore while checking out
- There is a **small checkbox** in the checkout, where one can uncheck it to skip buying carry bags
- The items will be carried by the delivery agent in his big delivery bag, and only the products will be delivered to the user in case of not buying a carry bag
- It is just to create in a sense within the customers that **carry bag is also a premium service** and should be charged like delivery

Solutions in Detail

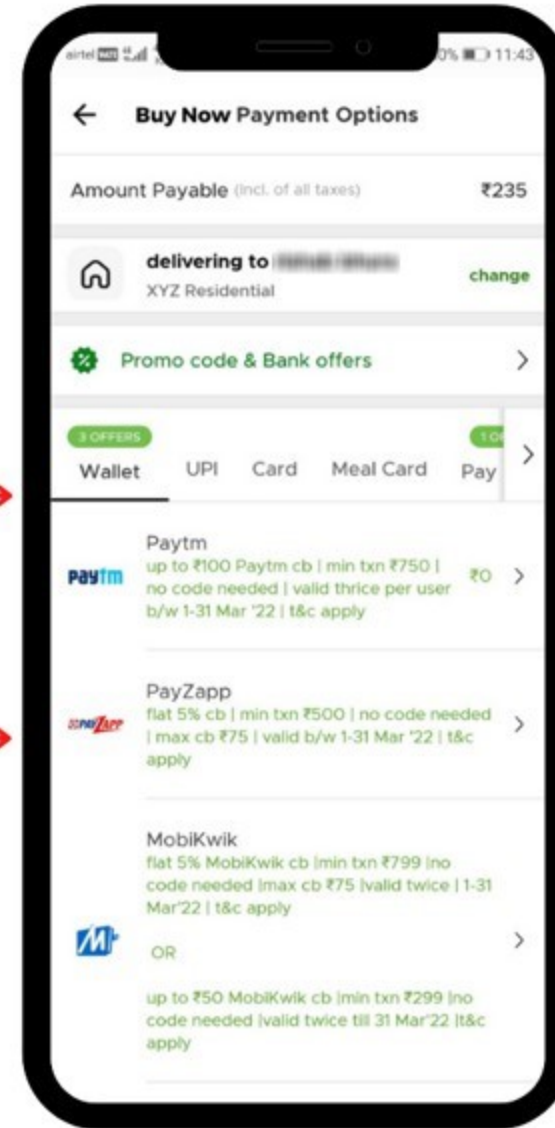




*Buy Now option directly while browsing



*Buy Now Option in product view mode



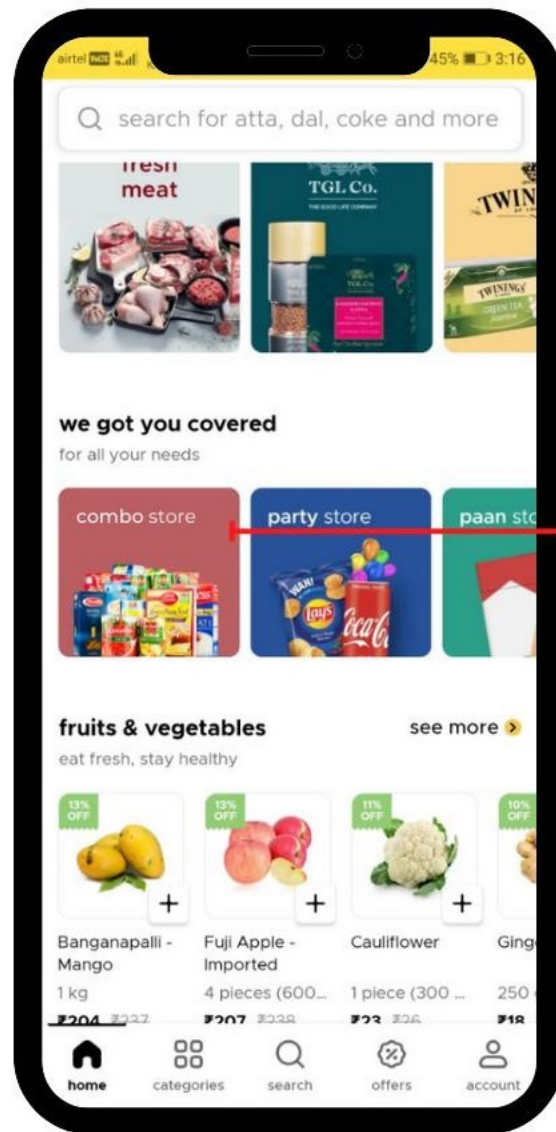
*Buy Now Payment Window, which directly opens if a user clicks on 'Buy Now'. The delivery address also appears on this screen to reduce touchpoints and faster purchase

Buy Now

- Users will always be shown two options while viewing a product, 'Add' and 'Buy Now', which will **directly redirect to the payment page** with the default address
- Buy Now will tempt users to **impulsively buy products**. For ex - user is using Blinkit and saw 'Dairy Milk' and had an instant craving for it - 'Buy Now' option with 10 minute delivery will ensure we tap better into such opportunities
- We can A/B test if we should let users buy now only one quantity of a particular product or multiple quantity of one product through some easier UI

Solutions in Detail

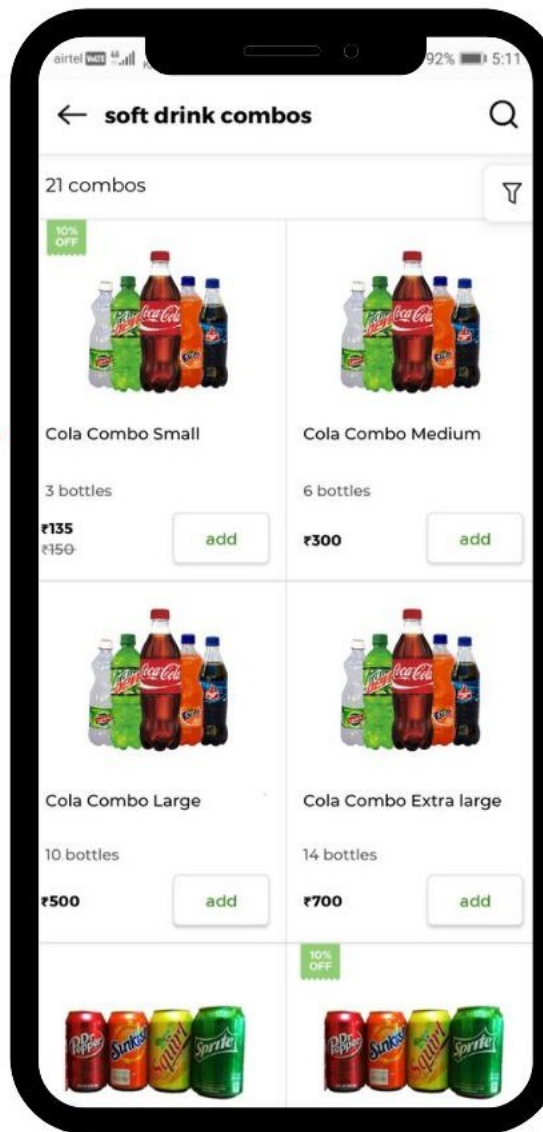




*Combo Store in Home Page



*Various Categories of Combos



*Various Combos in a combo category

Combo Store

Use Case - I am a party host, and my soft drinks and munchies are about to finish but the party has just started. I open Blinkit to get flash delivery, but choosing 1-1 product and quantities would only take 5 minutes in total - **Combo Store** has all various combos with various sizes to cater for **all quick needs**.

- Soft Drink Combo
 - Munchies Combo, etc in
- 1.small
 - 2.medium
 - 3.large
 - 4.extra large sizes

- This will increase the **number of big orders, increasing revenue**

Success Metrics



Optional Carry Bag

- % of orders where carry bags were not taken
- % of orders where the checkbox was checked by default and the carry bag was taken
- % of orders where the checkbox was checked by default and the carry bag was not taken
- % of orders where the checkbox was not checked by default and the carry bag was taken
- % of orders where the checkbox was not checked by default and the carry bag was not taken
- Average order value where carry bag was not taken vs taken

Buy Now

- % of Buy Now orders by total orders
- Average order value of Buy Now orders
- % of Buy Now orders from browse
- % of Buy Now orders from product view
- % of Buy Now orders from different categories
- Average no. of Buy Now orders per user per month
- Average no. of Buy Now orders per user who have at least bought once using Buy Now

Combo Store

- % of Orders including products from Combo store
- Average order value of orders containing products from combo store
- % of orders including only combo products
- Average order value of orders only containing Combo products
- Average no. of orders containing combo products per user per month
- Average no. of orders containing only combo products per user per month

THANK YOU

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